Plan your prosperity — retire rich

Chapter 1: What? me? Retire?

1. The imagined Dichotomy
2. Two goals... and some Non-goals.
   1. Benchmark for Better Results.
   2. The non-goals.
3. Definitions and a pencil
4. Start immediately. Now. Right Away.
5. Plan your prosperity.

Chapter 2: my goals are... what?

1. why is this so Hard?
2. your investing goals, simply
   1. growth
   2. Cash flow
   3. A combination of growth and Cash flow
   4. Capital preservation.
3. potential pitfall: capital preservation and growth.
4. inflation's insidious impact.
5. what is inflation.

$MV = PQ$

3. Three percent, compounded.

Chapter 3: The Secret code – Asset Allocation or Benchmark?

1. Benchmark – A Road map and measuring stick.
   1. Road map for a long Journey
   2. measuring stick.
2. picking a Benchmark

4. The Big Decision - Asset Allocation:

1. Stock Selection doesn't matter?

1. Starting Small

2. The impact of one on the whole.

5. Potential Pitfall: Age doesn't Equal Asset Allocation.

6. Benchmark versus Asset Allocation - what's the distance?

1. Being Flexible

1. Static isn't a solution

2. Passive or Active?

3. Passive is Hard ... Really Hard.

Chapter 4: time Horizon - Longer than you think.

1. Potential Pitfall: Ignoring opportunity cost

2. Time Horizon - what is it?

1. Like Experiency - keeps getting longer

2. Shorter... and Longer.

3. Time Horizon and Benchmark

Chapter 5: what's in a Return?

1. Growth Defined?

- The Equity portion will experience near term volatility.

2. Enveloping volatility

3. The Past as a guide?

1. Stocks Beat Bonds - usually.

2. Forecasting for future supply?

4. Gordon Moore and Endless Innovation.

5. Potential pitfall: unrealistic expectations

Chapter 6: Getting that cash flow

1. Potential pitfall – The all high-dividend portfolio
   1. Home grown dividends.
2. How much do you need?
   1. The 10% myth
3. Monte carlo – Not just a casino.
4. Let's get bootstrapping

Chapter 7: Can I get there?

1. How much do you have?
   1. Make your own balance sheet
      1. Stocks
      2. Stocks mutual funds
      3. Fixed income
      4. Fixed income mutual funds
      5. Cash and cash equivalents
      6. Annuities
      7. Other.
   2. Savings plan. Based on assumed interest rate

$$FV = PV \times (1+i)^n$$

FV → future value; PV → present value; PMT → savings amount each year.

$$FV = PMT \times \left([1+i]^n / i \right)$$

Save annually.

$$PMT = (i \times PV) \,/\, ([1+i]^n = 1)$$

Chapter 8: Putting it all together

1. To benchmark or not to benchmark
2. Share your goals
   - growth
   - cash flow
   - capital preservation
   - some combination two

3. Know where you are.

4. Picking an Appropriate Benchmark.

1. Time horizon
2. Return expectations $PV = PV \times (1+i)^n$.
3. Cash flow needs
4. Any other circumstances unique to you.

5. Finding professional Help

1. Since portfolio asset allocation is a critical decision made for my account.

2. Global market leadership has always shifted and will continue to shift over time.

3. Static and/or rigid allocations to size, style and/or sector min or max categories can mean missed opportunities and can hamper performance.

6. Avoid Being a fraud victim.

7. And your o±±!

Appendix A: All Hail the mighty Dow.

1. What's so wrong with the Dow?
2. Price-Weighted insanity
3. Stock splits and splitting headaches
   1. A split de-weights a stock
   2. Those who like the dow should have taken

Appendix B: Cash flow vs Expenses.

Appendix C: Expenses categories

1. Auto & transport 2. Bills & Utilities 5. Entertainment
3. Business services 4. Education 6. Fees & charges
7. Food & Drinking 8. gifts & donations
9. Health Fitnesses.

Appendix D: personal Balance Sheet.

Ken Fisher - Ken Fisher.